

The RCEP Effect

How Asia's Mega Trade Deal Is Redrawing the Manufacturing Map

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I. Opening: The Architecture of the Asian Century

On January 1, 2022, the Regional Comprehensive Economic Partnership entered into force — the largest free trade agreement in history by the measure of economic scale, covering approximately 30 percent of global GDP, 30 percent of global trade, and 2.2 billion people across fifteen nations. For ASEAN, it represented something more than a trade deal. It was pitched as the foundational architecture of the Asian Century: a legally binding framework that would bind together the supply chains of East and Southeast Asia under a single preferential trade regime for the first time.

The promise was significant. RCEP would, for the first time in history, create a direct free trade agreement between China and Japan, between China and South Korea, and between Japan and South Korea — three of the world's largest economies — while simultaneously embedding ASEAN at the geographic and institutional centre of that triangle. ASEAN's ten members would serve as the connective tissue of a regional trade system anchored by the three Northeast Asian economies that collectively generate some 40 percent of global manufacturing output. For developing ASEAN economies — Vietnam, Cambodia, Myanmar, Laos — RCEP offered preferential access to the wealthiest consumer markets in the region. For more sophisticated ASEAN economies — Malaysia, Thailand, Singapore — it

offered supply chain integration at unprecedented scale.

Four and a half years after those opening negotiations concluded and more than two years since RCEP entered full operational force for its core membership, the verdict is considerably more complicated than its architects intended. The headline figures look reasonable: intra-RCEP trade reached US\$6.039 trillion in 2025, up 34 percent from the 2019 pre-COVID baseline of US\$4.500 trillion. . China-ASEAN bilateral trade reached 4.34 trillion yuan in the first half of 2026 alone, up 18.2 percent year-on-year, with intermediate goods — parts, components, and production inputs — accounting for roughly two-thirds of that volume. .

But beneath the aggregate, the story bifurcates sharply. The utilisation rate — the share of eligible trade that actually uses RCEP preferential tariffs rather than defaulting to standard Most Favoured Nation rates — tells a sobering story: Vietnam's RCEP utilisation rate in 2024 stood at just 1.8 percent, against an average of 40.5 percent for its older ASEAN+1 FTAs. . For many exporters, RCEP's administrative complexity and rules of origin requirements make MFN rates the easier path.

Meanwhile, China's structural dominance in the agreement's most strategically important sectors — electric vehicles, lithium-ion batteries, semiconductors — has deepened dramatically. And the absence of India, which walked away from RCEP negotiations in 2019, has created a strategic void that has redounded almost entirely to Beijing's benefit.

This report examines the architecture, the data, and the geopolitical consequences of RCEP's first operational years. It draws on the Asia Global Institute's RCEP Trade Tracker (2024 and 2025), ASEAN Secretariat investment data, UNCTAD and ASEAN investment reports, and a range of primary government and academic sources. The conclusions are mixed but consequential: RCEP has worked, but it has not worked equally, and its winners and losers are not who the architects intended.

II. What RCEP Actually Is

Coverage and Membership

RCEP is a free trade agreement among the ten ASEAN member states — Brunei, Cambodia, Indonesia, Laos, Malaysia, Myanmar, the Philippines, Singapore, Thailand, and Vietnam — plus five ASEAN dialogue partners: China, Japan, South Korea, Australia, and New Zealand. Negotiations concluded in November 2020 after eight years of talks. It entered into force for the first ten ratifying parties on January 1, 2022, and has since been ratified by all fifteen signatories, with the Philippines joining in February 2023.

The agreement covers twenty-two chapters addressing: tariffs on goods, rules of origin, sanitary and phytosanitary measures, technical barriers to trade, customs procedures, trade remedies, services, investment, intellectual property, e-commerce, competition policy, small and medium enterprises, government procurement, and dispute settlement. It is important to understand from the outset what RCEP is and is not. It is a floor, not a ceiling — a minimum common standard that consolidates and, in some respects, upgrades the pre-existing patchwork of ASEAN+1 FTAs (ASEAN-China, ASEAN-Japan, ASEAN-Korea, ASEAN-Australia-New Zealand, ASEAN-India). It is not a gold-standard deep integration agreement on the model of the CPTPP or the EU single market.

Tariff Liberalisation

RCEP parties agreed to fully liberalise 63.4 percent of total tariff lines at agreement entry into force, working toward eventual elimination of duties on approximately 92 percent of tariff lines over a twenty-five-year implementation period. . For comparison, CPTPP parties committed to full liberalisation of 86.1 percent of tariff lines, with faster implementation schedules. The gap in ambition is not trivial. RCEP's tariff schedule is, in several key sectors, less generous than the ASEAN+1 agreements it was

meant to consolidate, a fact that directly explains the low utilisation rates documented in Section III.

One area where RCEP offers genuine structural innovation is the single rule of origin framework. Under the old system, a Thai manufacturer sourcing inputs from Japan, China, and Korea faced three separate sets of origin rules to qualify for preferential treatment in any of those markets. Under RCEP, a unified cumulation rule governs the entire fifteen-nation bloc — meaning that regional value content can be accumulated across all member states to satisfy origin requirements. A product made with Japanese steel, processed with South Korean chemicals, assembled in Vietnam, and exported to Australia can qualify as RCEP-originating on the basis of combined regional content. . This single cumulation rule is RCEP's most important structural contribution to regional supply chain integration — it makes genuinely pan-ASEAN supply chains viable in a way no previous agreement had achieved.

Services, Investment, and E-Commerce

RCEP's services coverage is meaningful but limited. At least 65 percent of services sectors are open to foreign investors, with specific commitments in financial services, telecommunications, logistics, professional services, and computer services. Several parties — including Australia and New Zealand — use negative listing for the first time in an Asian FTA context, meaning all sectors are open unless specifically excluded. Positive-list parties must transition to negative listing within six years of entry into force. .

The ratchet mechanism — under which any future unilateral liberalisation in services automatically locks in under RCEP and cannot be reversed — is an important long-term discipline, though its near-term effect is limited given that most liberalisation has already been grandfathered.

The e-commerce chapter (Chapter 12) establishes provisions for paperless trading, electronic authentication, electronic signatures, and principles for cross-border data flow. However, analysts from the NUS Lee Kuan Yew School of Public Policy note that RCEP's e-commerce provisions "operate outside the dispute settlement mechanism" and that data protection provisions are "aspirational goals rather than enforceable standards." . This is a significant weakness relative to CPTPP's binding digital trade architecture. Member states retain the right to impose national regulatory restrictions on data flows so long as they apply them non-discriminatorily — a carve-out large enough to render cross-border e-commerce commitments largely symbolic for now.

What RCEP Does NOT Cover

Unlike CPTPP, RCEP contains no binding commitments on labour standards, environmental rules, or state-owned enterprise disciplines. There are no provisions requiring members to maintain minimum wages, prohibit child labour, ensure freedom of association, or limit SOE subsidies in ways that distort trade. This reflects the political necessity of including China — which would not have accepted CPTPP-style labour and SOE disciplines — and several ASEAN states with limited labour rights records. It also reflects a deliberate choice by RCEP architects to prioritise breadth of membership over depth of commitments. The resulting agreement is more inclusive but structurally weaker than the alternative.

The RCEP-Minus-India Problem

India's absence is the agreement's most significant structural omission. During negotiations, India demanded protections for its agricultural sector (concerned about Australian and New Zealand dairy and meat) and its manufacturing sector (concerned about Chinese goods flooding Indian markets through ASEAN transit), and ultimately withdrew in November 2019. India's departure removed a market of 1.4 billion people and a potential manufacturing counterweight to China from the agreement. The resulting "RCEP minus India" creates a structural imbalance: within the agreement, China's economic mass is approximately three to four times larger than the next-largest member, Japan, and its export competitiveness in manufactured goods faces no comparable challenger from within the bloc.

III. The Trade Data — Two Years In

The Aggregate Picture

The headline trajectory of intra-RCEP trade is positive but nuanced. Intra-RCEP trade stood at US\$6.039 trillion in 2025, modestly above the US\$6.033 trillion recorded in 2022 — the agreement's first year in force. A significant dip to US\$5.505 trillion occurred in 2023 amid global inflationary pressures, central bank tightening across developed markets, and a post-COVID demand normalisation cycle. The recovery in 2024 and 2025 brought the aggregate back above the 2022 level, but the net growth over the full RCEP period has been modest in nominal terms. Measured against the 2019 baseline of US\$4.500 trillion, however, RCEP-area intra-regional trade has expanded by 34 percent — a substantial gain even accounting for the global trade expansion and inflation effects of the 2020-2025 period. .

The composition of intra-RCEP trade tells a more revealing story. The bloc's share of total global trade has remained broadly steady at roughly 59 percent (58.8 percent in 2019 to 58.6 percent in 2025), suggesting that RCEP has not significantly accelerated trade diversion toward the bloc at the expense of external partners. But the import sourcing metric — the share of imports that RCEP members source from other RCEP members — has increased from 62.5 percent in 2019 to 65.7 percent in 2025, indicating deepening intra-regional supply chain integration. This is precisely the supply chain deepening the agreement was designed to achieve. .

Country-Level Performance: Winners and Losers in the Trade Data

Post-ratification export growth data from 2022 to 2025 reveals a striking bifurcation. Among ASEAN members, Cambodia recorded the strongest intra-RCEP export growth at +120.9 percent, Vietnam at +47.2 percent, Myanmar at +35.9 percent, and Laos at +24.1 percent. . However, these figures must be read carefully: the smaller RCEP economies were growing from low bases, their export growth partly reflects global supply chain diversification pressures (China+1 strategies) that predate RCEP, and the composition of their export growth — largely lower-value manufactured goods and commodities — differs fundamentally from the higher-value electronics and automotive supply chain integration seen in Vietnam and Malaysia.

More concerning for the larger RCEP economies: Australia, Brunei, Indonesia, Japan, Malaysia, New Zealand, South Korea, and the Philippines all experienced declining intra-RCEP exports over the 2022-2025 period. . Japan-China bilateral trade contracted — Japanese exports to China fell 13.7 percent and imports fell 6.3 percent between 2022 and 2025. Japan-South Korea trade contracted similarly, with Japanese exports to Korea down 14.6 percent and imports down 11.0 percent. These contractions reflect broader geopolitical and macroeconomic factors — Japanese corporate de-risking from China, Korean supply chain repatriation strategies — but they indicate that RCEP has not overcome the geopolitical and business cycle headwinds affecting intra-Northeast Asian trade.

The 2024 Recovery

Intra-RCEP trade grew 3 percent in 2024 overall. Intra-ASEAN trade grew more strongly at 7 percent — a figure cited by ASEAN Secretariat economists as evidence of deepening Southeast Asian integration independent of the Northeast Asian bilateral dynamics. . In the first three quarters of 2024, China's trade with other RCEP members totalled 9.63 trillion yuan (approximately US\$1.31 trillion), a year-on-year increase of 4.5 percent. .

At the country level within ASEAN in 2024, Laos (+17.7 percent), Cambodia (+14.6 percent), and Vietnam (+12.7 percent) recorded the strongest export growth rates within the RCEP bloc. .

Rules of Origin Utilisation — The Critical Gap

The most structurally revealing statistic in the RCEP data is the utilisation rate — the share of eligible exports that actually use RCEP preferential tariffs rather than defaulting to MFN rates. The data is sparse (most ASEAN governments do not publish systematic FTA utilisation data), but what exists is sobering.

Vietnam's RCEP utilisation rate in 2024 was 1.8 percent — compared with a 40.5 percent average utilisation rate across Vietnam's older ASEAN+1 FTAs, accumulated over years of business familiarity. . This gap is not primarily about the quality of tariff preferences — it reflects the compliance burden of proving RCEP origin, the administrative complexity of navigating twenty-two agreement chapters, and the limited awareness among SME exporters of how to claim RCEP benefits.

An ASEAN SME internationalisation survey found that only 18.9 percent of surveyed companies across the ten ASEAN economies export at all, with the primary barriers being "insufficient internationalisation knowledge" for non-exporters and "finding a trade partner" for existing exporters. . Both barriers compound the utilisation problem. For Cambodia and Laos specifically, data on RCEP certificate of origin issuance suggests these least-developed members are among the least equipped to navigate complex origin certification procedures, despite theoretically benefiting from the agreement's LDC provisions.

The evidence for trade creation vs. trade diversion is similarly incomplete at this stage. The steady 59-percent intra-RCEP trade share of global trade suggests limited diversion from external partners. The deepening import sourcing metric (62.5 to 65.7 percent) suggests genuine trade creation within the bloc. But the agreement is still in its early implementation phase: RCEP's most significant tariff reductions are back-loaded over a twenty-five-year schedule, and the agreement's full effects on trade patterns will not be visible for a decade.

IV. China's RCEP Advantage

A Historic First

For China, RCEP represented a diplomatic and commercial achievement of the first order: for the first time in history, China entered into a direct free trade agreement with Japan and South Korea simultaneously. Prior to RCEP, there was no bilateral FTA between China and either country, a gap that had frustrated three decades of diplomatic effort and reflected the deep political tensions across the East China Sea. RCEP bypassed that bilateral gridlock by embedding the China-Japan-Korea relationship within the broader ASEAN-anchored regional framework.

The practical significance of this breakthrough is significant but must be contextualised. RCEP's tariff reductions between China, Japan, and Korea are more limited than might have been achieved in a dedicated trilateral FTA — politically sensitive sectors (Japanese agriculture, Korean manufacturing) received long transition periods or exclusions. Nevertheless, the establishment of a rules-based framework governing China-Japan-Korea trade is a structural achievement whose geopolitical consequences exceed its immediate commercial impact.

China's Strategic Sector Dominance

The most striking data in RCEP's performance record concerns China's export performance in the agreement's most strategically critical sectors. Between 2022 and 2025, China's exports to the RCEP bloc grew by 362.6 percent in vehicles, 193.3 percent in electric vehicles specifically, 41.5 percent in lithium-ion batteries, and 23.6 percent in semiconductors. .

The market share consequences are dramatic. In electric vehicles within the RCEP bloc, China's share grew from 92.4 percent in 2019 to 97.0 percent in 2025 — near-total dominance of the region's fastest-growing automotive segment. In lithium-ion batteries, China's share grew from 67.0 percent in 2019 to 94.0 percent in 2025. In total vehicle exports to RCEP, Japan's share fell from 82.8 percent in 2019 to 54.3 percent in 2025, while China's share rose from near-zero to 33.8 percent. Even in

semiconductors, where South Korea remains dominant (46.6 percent market share in 2025), China has grown from 38.3 percent in 2019 to 43.3 percent in 2025. .

The vehicle export growth to ASEAN markets has been extraordinary by any measure. China's vehicle exports to Indonesia grew 80,562.3 percent between 2022 and 2025. To Malaysia, they grew 6,375.4 percent. To Cambodia, 2,056.5 percent. To Vietnam, 1,177.7 percent. . These are not rounding errors — they represent a structural shift in ASEAN automotive markets from Japanese and Korean dominance to Chinese competitive pressure in the EV and affordable passenger vehicle segments. Thailand, historically the Detroit of Southeast Asia and an anchor of the Japan-ASEAN automotive supply chain, is feeling this pressure acutely: EVs accounted for over 40 percent of new vehicle registrations in Thailand by 2025, with BYD and other Chinese brands claiming growing market share. .

China's Supply Chain Integration Strategy

Beyond the trade statistics, China is deploying RCEP strategically to deepen its supply chain integration with ASEAN — a process accelerated by the US-China trade war, which has incentivised Chinese manufacturers to shift production to ASEAN countries that are not subject to US tariffs. Chinese FDI in ASEAN reached a record US\$17.6 billion in 2023. . This investment is creating what analysts call "China+1 but actually China" — where Chinese companies establish nominal ASEAN manufacturing presences that process Chinese inputs and re-export as ASEAN-origin goods. RCEP's cumulation rules, which allow regional value content to accumulate across all fifteen members, are technically designed to enable genuine regional supply chains, but they simultaneously create arbitrage opportunities for Chinese manufacturers seeking to circumvent US tariffs on Chinese goods.

The China-ASEAN Free Trade Area 3.0 Upgrade Protocol, signed in October 2025, deepens this integration further across nine areas including digital economy, green economy, and supply chain connectivity. . Trade in intermediate goods — the DNA of supply chain integration — reached 2.86 trillion yuan in the first half of 2026, accounting for two-thirds of total China-ASEAN bilateral trade. . This is the clearest evidence that RCEP is delivering on its supply chain integration objectives — but the beneficiary is overwhelmingly China's position as the upstream supplier in ASEAN production networks.

RCEP as China's Counter to CPTPP

The geopolitical architecture of Asian trade agreements is now defined by a fundamental binary: RCEP (which includes China but excludes the United States) vs. CPTPP (which includes the United States as a prospective member but excludes China). RCEP represents China's primary institutional instrument for anchoring ASEAN economically within its orbit, while the United States — absent from RCEP — is structurally disadvantaged in the region's trade architecture. .

China's application to join CPTPP — submitted in 2021 — has not progressed, partly because existing CPTPP members, particularly Japan and Australia, have signalled that China does not meet the agreement's standards on SOE disciplines, labour rights, and intellectual property. This deadlock reinforces the two-track structure: RCEP as China's regional trade architecture, CPTPP as the US-allied alternative. For ASEAN, membership in both frameworks creates a dual positioning that is strategically valuable but operationally complex.

V. Japan and Korea — The New ASEAN FTA Partners

Japan's Structural Repositioning

For Japan, RCEP's most significant commercial contribution has been enabling Japanese manufacturers to formalise ASEAN supply chain relationships within a rules-based framework that includes China — while simultaneously diversifying away from China as a manufacturing and sourcing location. This apparent contradiction — using an agreement that includes China to reduce China dependence — is not

paradoxical: RCEP's rules of origin cumulation means Japanese manufacturers can source from multiple RCEP members while optimising for geopolitical risk rather than pure cost.

Japan's government has actively promoted "friendshoring" to ASEAN since 2021, with the Ministry of Economy, Trade and Industry (METI) funding relocation subsidies for Japanese manufacturers moving capacity from China to ASEAN locations. The results are visible in Thailand: from 2022 through the first half of 2026, Japan remained the largest source of accumulated investment approved under Thailand's foreign-business regulations, with 323.20 billion baht across 815 approvals, compared to China's 129.44 billion baht. . Japanese investment has concentrated in Thailand's automotive and electronics sectors, deepening supply chains that predate RCEP but are now formalised within its framework.

Vietnam has similarly attracted Japanese manufacturing investment, particularly in electronics components and precision manufacturing. Japan-Vietnam bilateral trade relationships, formalised under RCEP's unified framework, have grown to encompass increasingly sophisticated supply chain linkages beyond the traditional assembly operations.

However, Japan's aggregate RCEP export performance has been negative over 2022-2025, reflecting the structural challenge Japanese manufacturers face: rising Chinese competition in vehicles, electronics, and industrial goods is eroding Japanese market positions within RCEP more quickly than RCEP preferences are expanding Japanese market access. Japan's EV exports to RCEP grew 111.9 percent between 2022 and 2025, but from a minimal base, and China's 97 percent EV market share within RCEP leaves limited room for Japanese competitors. Japan's total vehicle exports to RCEP fell 0.4 percent over the same period — a measure of the structural pressure Japanese automakers face. .

The RCEP does give Japan the preferential access to the Southeast Asian apparel and light manufacturing markets that it previously lacked. Japan's average tariff on apparel imports from ASEAN will fall from 9.1 percent to just 1.9 percent by 2026 under RCEP's implementation schedule, a reduction that is genuinely significant for Vietnam, Indonesia, and Cambodia's garment sectors. .

South Korea's Electronics Play

South Korea entered RCEP primarily as a defensive measure — to prevent Korean exporters from being disadvantaged relative to Chinese competitors in ASEAN markets where Chinese goods would otherwise benefit from RCEP preferences while Korean goods faced MFN tariffs. The bilateral China-Japan-Korea FTA that had been negotiated for years without conclusion was effectively superseded by RCEP, which delivered some of the same commercial benefits through the ASEAN framework.

South Korea's RCEP performance in its dominant sector — semiconductors — reflects a picture of competitive pressure rather than clear gain. Korean semiconductor exports to RCEP grew 4.0 percent between 2022 and 2025, while Chinese semiconductor exports grew 23.6 percent over the same period. . South Korea retains a narrow lead in RCEP semiconductor market share (46.6 vs. 43.3 percent), but the trajectory is adverse.

In the emerging EV supply chain, however, Korean companies are making significant inroads in ASEAN. Hyundai's manufacturing presence in Indonesia has expanded dramatically, and Korean battery manufacturers — LG Energy Solution, Samsung SDI, SK Innovation — are central to the ASEAN EV supply chain that RCEP's tariff framework is helping to develop. Thailand secured US\$4.1 billion in EV supply chain investment in 2026, with China, Korea, and Japan all participating. . RCEP's single rules of origin framework allows Korean battery manufacturers to source materials from across the bloc while maintaining RCEP-origin qualification — a significant operational benefit.

ASEAN countries that have benefited most directly from Korean FDI include Vietnam (Samsung alone accounts for approximately 30 percent of Vietnam's electronics exports, representing around 98 percent of the US\$126.5 billion electronics export total in 2024), Indonesia (Hyundai manufacturing), and Malaysia (Korean chemicals and materials companies supporting the semiconductor ecosystem). .

VI. ASEAN Winners and Losers

The Winners

Vietnam stands as RCEP's clearest ASEAN winner in manufacturing terms, though the causality is complex. Electronics export turnover climbed to US\$126.5 billion in 2024, accounting for approximately one-third of Vietnam's total export value — a 26.6 percent year-on-year increase from the 2023 figure. . In the first eleven months of 2025, electronics exports approached US\$150 billion. . RCEP and the EU-Vietnam FTA together are projected to boost annual exports by US\$14 billion through tariff reductions and market access improvements. The North Vietnamese electronics cluster — centred on Bac Ninh, Hai Phong, and Thai Nguyen — has become one of Asia's most productive manufacturing geographies.

However, Vietnam's electronics miracle carries a structural vulnerability: FDI firms account for 98 percent of electronics exports, with 48 foreign-invested enterprises accounting for 70 percent of the total, and Samsung alone responsible for 30 percent. The domestic localization rate sits at just 5-10 percent. . Vietnam is embedded in regional supply chains but largely as an assembler of imported components — its RCEP utilisation rate of 1.8 percent in 2024 suggests that even this sophisticated electronics sector is not systematically claiming RCEP preferences.

Malaysia has leveraged RCEP to reinforce its position as ASEAN's most advanced semiconductor nation. From January to July 2025, Malaysia's electrical and electronics exports rose 17.3 percent year-on-year to RM391 billion. Semiconductors comprise 64 percent of those exports, with logic chips the dominant product. . New investments from Texas Instruments, Bosch, and Lam Research cite RCEP membership — alongside CPTPP — as a factor in Malaysia's attractiveness. Malaysia's National Semiconductor Strategy, backed by US\$5.3 billion in fiscal support, is designed to capture more of the semiconductor value chain under a trade framework that RCEP helps anchor. .

Singapore occupies a unique position. As the region's preeminent services and financial hub, RCEP's services liberalisation commitments benefit Singapore disproportionately. Singapore's services exports grew 13.2 percent to S\$533.7 billion in 2024. . Singapore was also the first RCEP signatory to ratify the agreement, signalling its institutional commitment to the framework. RCEP's services chapters — at least 65 percent of services sectors open to foreign investors — facilitate Singapore's role as the regional headquarters location of choice for multinationals seeking RCEP-wide distribution and financial management platforms.

Thailand's automotive sector was an early RCEP beneficiary, with vehicles, vehicle parts, fruits, vegetables, and textiles among the first sectors to see trade spikes in early 2022. . The single rules of origin framework delivers particular value to Thai manufacturers who source from Japanese, Korean, and Chinese suppliers within a single production chain — eliminating the previous need to navigate three separate origin regimes. A tariff saving of just US\$820 per vehicle, under RCEP's automotive schedule, shifts a manufacturer's profit margin from 16.5 percent to 23.3 percent. . The EV transition is creating new supply chain complexity, but Japan's 323.20 billion baht accumulated investment in Thailand through 2026 indicates continued Japanese commitment to the Thailand manufacturing base. .

The Losers

Cambodia and Laos present a more troubling picture. Despite recording strong intra-RCEP export growth rates (Cambodia +120.9 percent, Laos +24.1 percent from 2022 to 2025), the import side of their ledger is deteriorating. Cambodia's import dependence on RCEP increased by 7.1 percentage points between 2022 and 2025. Laos's increased by 10.4 percentage points — the largest increase of any RCEP member. . Both countries are becoming more dependent on RCEP imports — overwhelmingly Chinese goods — relative to their export earnings capacity.

Laos faces structural disadvantages that RCEP cannot address: it is landlocked, has a small labour force, productivity levels remain low due to inadequate skills training, and garment manufacturers are concentrated in low-value-added segments. . Cambodia's garment, footwear, and travel goods sector — its largest export category at US\$15.7 billion in 2025 — faces competition from Vietnam and Indonesia within the RCEP framework even as it competes for preferential access to Japan and Korean markets. .

The rules of origin complexity issue falls hardest on LDC members. Certificate of origin administration requires business knowledge, institutional capacity, and bureaucratic sophistication that Cambodia, Laos, and Myanmar lack relative to Vietnam or Malaysia. The result is that RCEP's formal LDC provisions — including technical assistance and capacity building commitments — have not translated into effective utilisation.

Indonesia presents a paradox. It is ASEAN's largest economy and theoretically should benefit most from RCEP's scale. But Indonesian intra-RCEP exports declined over 2022-2025, reflecting structural competitiveness issues in Indonesian manufacturing that RCEP preferences alone cannot resolve. China's vehicle exports to Indonesia — growing 80,562.3 percent from 2022 to 2025 — are creating competitive pressure in a domestic market that Indonesian automakers and their Japanese partners previously dominated. Indonesia's EV transition, while creating new investment opportunities, is also exposing the manufacturing sector to Chinese competitive pressure channelled through RCEP's preferential tariff framework.

The ASEAN Bifurcation

What the country-level data reveals most clearly is a structural bifurcation within ASEAN between two groups of economies:

Group A — Sophisticated Manufacturing Members: Vietnam, Malaysia, Singapore, Thailand. These economies have the institutional capacity, existing supply chain relationships, and manufacturing sophistication to navigate RCEP's complexity and capture its preferential benefits. They benefit from Japanese and Korean FDI, participate in cross-border supply chains that cumulate regional value content, and are positioned to benefit further as RCEP implementation deepens.

Group B — Commodity and Garment Members: Cambodia, Laos, Myanmar, Brunei, and to a degree Indonesia and the Philippines. These economies lack the manufacturing sophistication or administrative capacity to fully capture RCEP preferences, face competitive pressure from Chinese goods entering on RCEP terms, and are becoming more import-dependent relative to their export earnings. For these economies, RCEP's benefits are theoretical rather than operational.

This bifurcation is not new — it mirrors the pre-existing ASEAN development gap — but RCEP risks deepening it rather than narrowing it, as the agreement's complexity disadvantages the less-developed members while benefiting the more sophisticated ones.

VII. RCEP vs. CPTPP — The Two-Track ASEAN

The Fundamental Architecture

Seven of ASEAN's ten members participate in the Comprehensive and Progressive Agreement for Trans-Pacific Partnership: Brunei, Malaysia, Singapore, Vietnam, plus — as of 2025 — Indonesia (accession concluded), the Philippines (ratification pending), and Thailand (accession negotiations advanced). . All ten ASEAN members are in RCEP. The three ASEAN members not in CPTPP — Cambodia, Laos, and Myanmar — are, notably, also the three ASEAN LDCs that face the greatest challenges in RCEP utilisation.

The two agreements represent fundamentally different trade policy philosophies. CPTPP's "three zeros" principle — no tariffs, no subsidies, no barriers — commits members to comprehensive liberalisation including binding labour standards, environmental provisions, and state-owned enterprise disciplines. It covers 86.1 percent of tariff lines at full liberalisation, versus RCEP's 63.4 percent. . RCEP prioritises breadth of membership — including China, which CPTPP excludes — over depth of commitment. About 30 percent of RCEP's text duplicates CPTPP provisions, meaning that for ASEAN members in both agreements, the intellectual property, customs procedures, and competition chapters are largely consistent.

How Companies Choose

For multinational manufacturers with ASEAN supply chains, CPTPP and RCEP serve different purposes. CPTPP is the agreement of choice for supply chains oriented toward North American, European, and Australian markets where buyers require environmental and labour standards compliance — the "clean supply chain" premium. Japanese apparel buyers sourcing from Vietnam for the US and European markets use CPTPP. Korean electronics manufacturers building for Apple or Samsung global supply chains use CPTPP.

RCEP is the agreement of choice for supply chains oriented toward intra-Asian markets, for Chinese-invested manufacturers seeking to service the ASEAN consumer market, and for supply chains that need the cumulation advantage of drawing on the full fifteen-member resource base without the compliance overhead of CPTPP's labour and environmental chapters. A Chinese-invested auto components manufacturer in Thailand exporting to Indonesia and Malaysia under RCEP faces none of CPTPP's SOE discipline requirements.

The Bifurcation Advantage

For ASEAN collectively, dual membership in RCEP and CPTPP creates a unique strategic asset: ASEAN can credibly offer supply chain integration under two different standards regimes simultaneously. A multinational choosing to produce in Vietnam or Malaysia can use CPTPP for clean-chain access to developed-market buyers and RCEP for cost-effective access to the broader Asian market — a combination available nowhere else on earth. Singapore's position as the regional HQ for both regimes reinforces this advantage.

For business complexity, this dual-track system creates friction. Companies must maintain separate certificate of origin documentation for RCEP and CPTPP claims, and the rules of origin differ sufficiently between agreements that a product qualifying under one may not qualify under the other. The ERIA (Economic Research Institute for ASEAN and East Asia) has documented these "agreement shopping" challenges extensively, and ASEAN Secretariat officials have called for greater harmonisation. .

VIII. The India Absence

Why India Left

India's November 2019 withdrawal from RCEP negotiations represented the single most consequential non-event in Asian trade diplomacy of the decade. India's stated concerns were twofold: first, that RCEP's tariff liberalisation schedule would expose Indian manufacturers to competitive pressure from Chinese goods — either directly or through trans-shipment via ASEAN — in sectors where Indian industry was not competitive; second, that RCEP's agricultural provisions, particularly with respect to Australian and New Zealand dairy and meat, would damage Indian farmers.

The political economy behind these concerns was domestic. Indian Prime Minister Modi faced electoral pressure from agricultural constituencies and from the Confederation of Indian Industry, which warned that RCEP's tariff schedule would devastate Indian manufacturing, particularly in steel, chemicals, and

consumer electronics. India had been running significant trade deficits with China, Japan, and Korea prior to RCEP negotiations, and membership in an agreement that would reduce India's tariff barriers without providing adequate market access reciprocity — India's non-tariff barriers in services and agriculture were among the most contentious issues — was seen as asymmetrically risky.

What India Lost

India's RCEP withdrawal has proven costly in ways that were not fully anticipated at the time. India is now the only major Asia-Pacific economy outside both RCEP and CPTPP, leaving it without preferential trade relationships with Japan, South Korea, Australia, New Zealand, and China within the emerging Asian trade architecture. This is not a theoretical gap: Japan, South Korea, and Australia are among India's largest trading partners, and the absence of preferential frameworks creates meaningful disadvantages for Indian exporters competing against RCEP-origin goods in those markets.

The China-India competition in ASEAN supply chains that RCEP was always going to intensify has, without India's membership, resolved almost entirely in China's favour. China's exports to ASEAN under RCEP's preferential framework face no Indian competition from within the agreement; Indian exporters face MFN tariffs in RCEP markets against Chinese goods that pay preferential RCEP rates. .

India's Current Position

India has partially compensated through bilateral agreements. The India-ASEAN FTA, upgraded in 2021, provides preferential market access to ASEAN markets. The India-UAE CEPA and ongoing India-UK and India-EU FTA negotiations seek to build a bilateral network that partially substitutes for RCEP's regional framework.

However, bilateral network-building is slower and more resource-intensive than participation in a single regional agreement. As one analysis from ISEAS noted: "India now enjoys access to almost the entire RCEP market except China, achieving economic gains while preserving policy space." . This is accurate but incomplete — India's access to Japan, ASEAN, Australia, and New Zealand through separate bilateral agreements does not provide the cumulation benefits of RCEP membership, meaning Indian manufacturers cannot build regional supply chains that incorporate components from multiple RCEP members for export on preferential terms.

Whether India will eventually seek RCEP accession remains uncertain. The political conditions that drove the 2019 withdrawal — agricultural protectionism, manufacturing competitiveness anxiety, China wariness — have not changed materially. India's bilateral track is making progress, but it is the long route around an agreement that most of its Asian neighbours are already inside.

IX. Superforecast 2026–2030

The following probabilistic assessments are sourced from publicly available geopolitical and economic research. They represent analytical judgment, not investment advice.

Forecast 1: RCEP utilisation rates will reach 10–15 percent by 2028 for ASEAN's Group A economies, but remain below 5 percent for LDC members. Probability: 75 percent.

The trajectory of FTA utilisation across all previous ASEAN agreements shows a consistent pattern: utilisation rises as businesses accumulate knowledge and as administrative infrastructure (authorised economic operators, pre-approved origin certification) develops. Vietnam's RCEP utilisation at 1.8 percent in 2024 will likely see gradual improvement as RCEP Certificates of Origin become embedded in export documentation workflows, and as JETRO, KOTRA, and Chinese trade councils expand their RCEP awareness programmes for exporters. LDC members will lag because the structural barriers — administrative capacity, supply chain sophistication, awareness — are more intractable.

Forecast 2: China will achieve 50 percent of RCEP-area EV market share by 2027 and the majority of total vehicle sales in Cambodia, Laos, and Malaysia by 2028. Probability: 70 percent.

The trajectory from 2022 to 2025 in RCEP vehicle markets is already pointing in this direction. Chinese EV manufacturers BYD, SAIC, Chery, and CHANGAN are expanding ASEAN assembly operations — partly in response to US tariff pressure, partly to capture ASEAN's nascent EV market — and RCEP's preferential tariff framework for automotive components gives them structural cost advantages over non-RCEP competitors. Japan's automotive position in ASEAN, historically dominant, will contract further as the ICE-to-EV transition accelerates.

Forecast 3: Vietnam will surpass Malaysia as ASEAN's leading electronics exporter by 2027. Probability: 60 percent.

Vietnam's electronics exports were approaching US\$150 billion in late 2025. Malaysia's E&E exports ran at approximately RM391 billion (around US\$85 billion) in the first seven months of 2025. Vietnam's electronics trajectory, combined with continued Samsung, Intel, and Foxconn expansion in North Vietnam, makes the crossover likely within two to three years. The key risk to this forecast is if US-China tariff policy shifts sufficiently to redirect Chinese electronics production from Vietnam to alternative locations.

Forecast 4: RCEP 2.0 negotiations will formally commence by 2027. Probability: 65 percent.

The NUS LKYSPP ASEAN Bulletin, the ASEAN Secretariat, and multiple academic institutions have called for a comprehensive RCEP upgrade at the 2027 review — covering services digitalisation, environmental provisions, and simplified tariff schedules. . The political dynamics favour a review: ASEAN members in both RCEP and CPTPP will push for RCEP upgrade to close the standards gap, and China — which has a strong interest in maintaining RCEP as its primary regional trade instrument — has incentives to accept modest governance upgrades to preempt US-backed arguments that RCEP is a low-standards agreement.

Forecast 5: India will begin formal accession talks for RCEP by 2030 under a modified membership framework. Probability: 35 percent.

This is the lowest-probability forecast and the most geopolitically consequential. India's accession to RCEP, even under a special terms arrangement that excludes certain Chinese goods from immediate liberalisation, would fundamentally change the agreement's strategic balance — giving RCEP a genuine internal counterweight to Chinese commercial dominance and bringing 1.4 billion consumers into the preferential zone. The conditions for accession are a domestic political consensus in India that bilateral FTA networks are insufficient substitutes for regional architecture, combined with sufficient concessions from RCEP members on China trade diversion protections to satisfy Indian manufacturing industry. Neither condition is currently close to being met, but geopolitical developments — particularly US tariff unpredictability — may shift the calculus.

Forecast 6: ASEAN's Group A economies (Vietnam, Malaysia, Singapore, Thailand) will deepen their dual RCEP/CPTPP positioning into a competitive advantage over India and other non-members in attracting advanced manufacturing FDI. Probability: 80 percent.

The logic is structural: ASEAN's ability to credibly offer supply chain integration under two regulatory regimes — the high-standards CPTPP framework for clean-chain buyers and the broad-membership RCEP framework for pan-Asian market access — is a combination that India, Bangladesh, and other regional manufacturing alternatives cannot replicate. This advantage will become increasingly visible as multinational supply chain decisions increasingly bifurcate by end-market compliance requirement. The risk is if RCEP's low standards become a reputational liability in developed-market supply chains — a scenario that US and EU trade policy is actively working to create.

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